PROXY

PROXY, solicited by Management for the Annual Meeting of Shareholders of Canada Bread Company, Limited to be held May 1, 1998.

The undersigned hereby appoints **Archibald D. McLean**, of the City of Toronto, in the Municipality of Metropolitan Toronto, or failing him, **G. Wallace F. McCain**, of the City of Toronto, in the Municipality of Metropolitan Toronto or failing both of the foregoing, **Michael H. McCain**, of the City of Toronto, in the Municipality of Metropolitan Toronto, or instead of any of them, _____ as proxy, with power of substitution, to attend, act and vote for and on behalf of the undersigned at the Annual Meeting of Shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") to be held on the 1st day of May, 1998 and at any adjournment or adjournments thereof, and without limiting the general authorization and power hereby given, the persons named above are specifically directed to vote as follows:

(a) **FOR** ☐ **WITHHOLD FROM VOTING FOR** ☐ the election of the nominees for directors set forth under the heading "Election of Directors" in the accompanying Management Information Circular.

(b) **FOR** ☐ **WITHHOLD FROM VOTING FOR** ☐ the appointment of the auditors of the Corporation and authorizing the directors to fix their remuneration.

(c) at the discretion of the nominee in respect of amendments to matters identified in the Notice of Meeting and other matters that may properly come before the Meeting and any adjournment thereof.

The undersigned hereby revokes the power conferred on any other person by any other instrument of proxy bearing a date earlier to this instrument of proxy to attend, act and vote at the said Meeting or any adjournment or adjournments thereof.

DATED this day of , 1998.

_____
Signature of Shareholder

NOTES:

(1) The common shares represented by this proxy will be voted, or withheld from being voted, in accordance with the instructions noted hereon, on any ballots requested or required by law. **THIS PROXY CONFERS AUTHORITY FOR THE ABOVE NAMED TO VOTE IN HIS DISCRETION WITH RESPECT TO AMENDMENTS OR VARIATIONS TO THE MATTERS IDENTIFIED IN THE NOTICE OF THE MEETING ACCOMPANYING THIS PROXY OR OTHER MATTERS WHICH MAY PROPERLY COME BEFORE THE MEETING.**

(2) In the absence of any specification above, this proxy will be voted for the election of the persons nominated as directors in the accompanying Management Information Circular, for the appointment of KPMG Chartered Accountants, as auditors of the Corporation at such remuneration as the directors may fix.

(3) **EACH SHAREHOLDER HAS THE RIGHT TO APPOINT A PERSON TO REPRESENT HIM AT THE MEETING OTHER THAN THE PERSONS SPECIFIED ABOVE**. Such right may be exercised by inserting, in the blank space provided, the name of the person to be appointed who need not be a shareholder of the Corporation. Reference is made to the heading "Appointment and Revocation of Proxies" in the accompanying Management Information Circular.

(4) Please sign exactly as your name appears on this proxy and date the proxy. If this proxy is not dated, it is deemed to bear the date on which it is mailed by the persons making the solicitation. If the shareholder is a corporation, this proxy must be executed by an officer or attorney thereof duly authorized. When signing as attorney, executor, administrator, trustee, corporate officer, etc., indicate full title as such.